APPENDIX 2

How Punchy Can the P/E Multiple of a Great Company Be?

A large proportion of investors and financial analysts use shortcuts to value companies. Some of these include using three/five/ten-year historical average P/E[1] or P/B[2] multiples to arrive at the absolute valuation, or using PEG (i.e. the ratio P/E divided by expected earnings growth of a stock) ratios to identify overvaluation or undervaluation relative to peers. All these methods anchor themselves either to history or to peers' performance no matter how unjustified these comparisons might be in the future.

We present a simple example of how ratios like P/E and PEG can skew the actual picture of shareholder value creation and make it look rosier than it actually is. Take two hypothetical companies X and Y which make revenues of Rs 1 million in Year 1 and have the same projected revenue growth of 5 per cent and profit margin of 10 per cent until Year 5. However, as shown in the table below, Company X needs to reinvest 50 per cent of its earnings each year to maintain 5 per cent growth in revenues and earnings, while Company Y needs to reinvest 25 per cent of its earnings. Thus, in Year 1, Company X generates Rs 50,000 in free cash flow while Company Y generates Rs 75,000 in free cash flow. In both cases, those free cash flow figures grow at 5 per cent per year, just like the earnings and revenue figures do. To value each company then, would you look at free cash flows or earnings?